

## Formula for the payment reduction calculation for the Hospital Readmissions Reduction Program

Under the peer grouping methodology, the formula for the payment reduction is:

$$payment\ reduction = \min \left\{ .03, \sum_{dx} \frac{NM * Payment * (dx) * \max \{ (ERR(dx) - Median\ peer\ group\ ERR(dx)), 0 \}}{All\ Payments} \right\}$$

Where:

- *dx* is one of the readmission measures:
  - Acute Myocardial Infarction [AMI]
  - Chronic Obstructive Pulmonary Disease [COPD]
  - Heart Failure [HF]
  - Pneumonia
  - Coronary Artery Bypass Graft [CABG] Surgery
  - Elective Primary Total Hip Arthroplasty and/or Total Knee Arthroplasty [THA/TKA],
- *Payment* is the base operating diagnosis-related group (DRG) payments,
- *ERR* is the measure of excess readmissions, and
- *NM* is a neutrality modifier that maintains Medicare budget neutrality with the non-peer grouping methodology.